

Political Parties Act, 2017

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Political Party Act, 2073 (2017)."

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Commission" means the Election Commission pursuant to Article 244 of the Constitution.

(b) "Central Committee" means the Central Executive Committee of a party formed pursuant to the Statute of the party, and said term also denotes the central body or central ad hoc committee authorized to make decisions on behalf of the party, whatever name it may be called.

(c) "Fund" means the Fund of the party pursuant to Section 37.

(d) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules made under this Act.

(e) "Party" means a political party formed pursuant to Section 3.

(f) "Party Register" means the Party Register pursuant to Section 50.

(g) "Election" means the election of the President, Vice-President, members of the Federal Parliament or Provincial Assembly, office bearers and members of local levels, and said term also denotes by-election.

(h) "Office Bearer" means an office bearer of the party designated as an office bearer of the Central Committee pursuant to the Statute, and said term also denotes the Chief Office Bearer of the party.

(i) "House of Representatives" means the House of Representatives formed pursuant to Article 84 of the Constitution.

(j) "Provincial Assembly" means the Provincial Assembly formed pursuant to Article 176 of the Constitution.

(k) "Provincial Committee" means the highest executive committee at the Provincial level formed pursuant to the Statute.

(l) "Chief Office Bearer" means the office bearer designated as the Chief Office Bearer in the Statute.

(m) "National Assembly" means the National Assembly pursuant to Article 86 of the Constitution.

(n) "Statute" means the Statute of the party.

(o) "Federal Parliament" means the Federal Parliament formed pursuant to Article 83 of the Constitution.

(p) "Whip" means a member designated by the relevant parliamentary party to act as a whip, and said term also denotes the Chief Whip or Principal Whip.

(q) "Member" means a member of the party.

(r) "Constitution" means the Constitution of Nepal. Chapter-2
Formation, Registration and Operation of Political Party

3. Formation of Party: (1) Persons committed to a common political ideology, philosophy, and program may form a political party to conduct their political activities, subject to the Constitution and this Act.

(2) While forming a party pursuant to Sub-section (1), the party's manifesto and program must be made public.

(3) A party formed pursuant to this Section may publicize or cause to be publicized its objectives and programs to gain public support and cooperation. 4.

Party Must be Registered: (1) A party formed pursuant to Section 3 must be registered with the Commission. (2) Notwithstanding anything contained in Sub-section (1), a party registered with the Commission under prevailing law and with its registration subsisting at the time of the commencement of this Act shall not be required to be registered, and such party shall be deemed to be registered under this Act. (3) Notwithstanding anything contained in Sub-section (2), a party whose registration is subsisting at the time of the commencement of this Act must submit to the Commission, within one year of the commencement of this Act, the details and documents as per clauses (a), (b), (c), (f) and (g) of Sub-section (1) of Section 5. (4) A party registered under this Act may exercise the rights and obtain facilities under this Act. (5) The Commission shall publish a notice of the registration of a party under this Act in the Nepal Gazette. 5. Provisions Relating to Party Registration: (1) For a party to be registered pursuant to Section 4, the Chief Office Bearer of the party shall submit an application to the Commission, along with the decision of the Central Committee and the following details and documents attached, in the format as prescribed:- (a) Statute of the party, (b) Manifesto, (c) Specimen of flag, symbol, (d) Commitment letter signed by at least five hundred Nepali citizens who are voters to obtain party membership, along with certified copies of their citizenship certificates or voter identity cards and signatures, (e) Declaration letter stating that the persons making the commitment as per clause (d) are not members of another party, (f) Provision for a Central Committee comprising at least twenty-one members, and (g) Other details and documents deemed necessary by the Commission. (2) The Commission shall conduct necessary inquiries upon receiving the application under Sub-section (1). (3) For the purpose of Sub-section (2), the Commission may hold discussions with the Chief Office Bearer or members of the Central Committee of the proposed party, request any further details or necessary documents, or have their signatures attested in the prescribed format. (4) If, from the inquiries conducted under Sub-section (2), the proposed party appears eligible for registration under the Constitution and this Act, the Commission shall register such party within forty-five days of the submission of the application under Sub-section (1) and issue a Certificate of Registration, and if it is not eligible for registration, inform the applicant thereof stating the reasons. (5) When registering a party pursuant to Sub-section (4), it shall be recorded in the Party Register with details as prescribed. 6.

When Party Cannot be Registered: (1) Notwithstanding anything contained in Section 5, a party shall not be registered in any of the following circumstances:- (a) If the party fails to fulfill the condition as per Sub-article (4) of Article 269 of the Constitution, (b) If the name, objective, symbol, flag, statute, rule, and activities of the party are contrary to Sub-article (5) of Article 269 and Sub-article (2) of Article 270 of the Constitution and this Act, (c) If it appears that restrictions, deprivations, or discriminations are imposed on Nepali citizens based on religion, caste, ethnicity, sect, language, or gender for obtaining party membership, (d) If the Statute of the party does not contain matters required to be included as per Sub-section (2) of Section 8, (e) If the name or symbol of the party matches the name or symbol of a party whose registration is subsisting in the

Commission, (f) If the name, objective, symbol, or flag of the party is of a nature that disturbs or fragments the religious or communal unity of Nepal or is contrary to public morality, (g) If details or documents requested by the Commission as per Sub-section (3) of Section 5 are not provided, or the signatures of office bearers or members cannot be attested. (2) If a party cannot be registered for any reason under Sub-section (1), the Commission may, within fifteen days, notify the relevant applicant to submit rectified details to the Commission for registration, stating the reasons. (3) If such details are received within the period under Sub-section (2) and the Commission is satisfied therewith, the Commission shall register the party pursuant to Sub-section (4) of Section 5 and issue a certificate thereof to the applicant, and if the party cannot be registered, inform the applicant thereof stating the reasons. 7. Party to be an Autonomous Corporate Body: (1) A party registered under this Act shall be an autonomous corporate body with perpetual succession. (2) The party shall have a separate seal for its activities. (3) The party may, subject to this Act, acquire, possess, sell, or otherwise manage movable or immovable property like a natural person. (4) The party may sue and be sued in its own name. (5) The party may, subject to this Act, enter into contracts and exercise rights or fulfill obligations under the contract like a natural person. 8.

Statute of the Party: (1) There shall be a Statute for the performance of the party's functions and the management of its internal affairs. (2) The Statute must include the matters mentioned in the Schedule. (3) The party may, subject to the Constitution, this Act, and the Statute, make necessary Rules to determine procedural matters relating to the performance of the party's functions. 9. Protection of Name, Flag and Symbol of Party: The name, flag, and symbol of a party registered pursuant to Section 4 shall be protected such that no one else may use them. 10. Parties May Unify or Merge: (1) Two or more parties registered pursuant to Section 4 may, by mutual agreement, unify or merge. (2) To unify or merge pursuant to Sub-section (1), the parties intending to unify or merge shall submit an application to the Commission within forty-five days of such agreement, attaching their Statute, the decision of the Central Committee, and a copy of the agreement under Sub-section (1). (3) The application under Sub-section (2) shall also state whether they will merge into the name of one of those parties or unify under a new name. (4) The Commission shall conduct necessary inquiries upon receiving the application under Sub-section (2), and if, during such inquiry, it appears that the procedures and conditions required to be fulfilled under this Act and the Rules made under this Act regarding the unification or merger of parties have been met, the Commission shall, within forty-five days of the application being filed, decide to unify or merge such parties and issue a certificate thereof. (5) When parties unify or merge under this Act, the name, flag, symbol, property, or liability of such parties shall be as specified in the agreement under Sub-section (1). (6) If matters relating to the management of the property or liability of the parties at the time of unification or merger pursuant to Sub-section (5) are not specified, such property or liability shall vest in the unified or merged party. (7) Upon the unification or merger of parties under this Section, no one may use the name, flag, or symbol used by such parties prior to the unification or merger until one year from the date of unification or merger.

Added by the First Amendment. Provided, however, that

(1) If any party, whose name, flag, or symbol has already been designated before the commencement of this Section, unifies or merges under this Section after the declaration of an election date, such party shall, subject to the agreement made under Sub-section (1), use the name and flag previously used by the original party before the unification or merger, and one or more symbols used by that party or other symbols from among those on the ballot paper as determined by the Commission.

(2) Such party shall not use more than one symbol in one district. Explanation: For the purpose of this Section, "symbol" shall be understood to include election symbol.

(8) The Commission shall publish a notice of the unification or merger of parties under Sub-section (4) in the Nepal Gazette and update the details of such unification or merger in the record under Sub-section (5) of Section 5.

(9) Other provisions relating to the unification or merger of parties shall be as prescribed. 11. Restriction on Activities of Party: (1) If a party acts in violation of the proviso (3) of Sub-article (2) of Article 17 of the Constitution, the Government of Nepal shall write to the Commission to impose a restriction on such activities.

(2) Upon receiving a written request under Sub-section (1), the Commission shall conduct an inquiry as prescribed on the matter, and if it appears necessary to restrict such activities, the Commission shall decide and order the relevant party to cease such activities, informing the Government of Nepal thereof.

(3) Notwithstanding anything contained elsewhere in this Section, if the activities under Sub-section (1) constitute a criminal offense under prevailing law, this Section shall not bar action against such offenses according to law. 12.

Cancellation of Party Registration: (1) If a party wishes to cancel its registration, it shall submit an application to the Commission after making a decision through its Central Committee pursuant to its Statute for cancellation of registration. (2) Upon receiving an application under Sub-section (1), the Commission shall, after study and inquiry as prescribed, cancel the registration of such party. (3) If a party engages in activities under clauses (a), (b), (c), (d), (e), (f), (g), (h), (i), (j), (k) or (l) of Section 21, the Commission may cancel the registration of such party. (4) Before canceling a party's registration under Sub-section (3), the Commission shall give such party a reasonable opportunity to present its defense. (5) If no defense is presented under Sub-section (4), or if the defense presented is not satisfactory, the Commission shall decide to cancel the registration of such party and publish a notice thereof in the Nepal Gazette. (6) The name, flag, and symbol of a party whose registration is canceled under this Section shall not be granted to any other party until one year from the date of decision under Sub-section (5). (7) The property of a party canceled under this Section shall vest in the Government of Nepal, unless otherwise provided in the Statute of such party. 13. Registration Not to Subsist: (1) If a party fails to submit any details or reports, other than those specified in Sub-section (1) of Section 14, required to be submitted to the Commission under this Act or other federal law, or fails to fulfill conditions required for party registration under the Constitution or federal law, the registration of such party shall not subsist. (2) The Commission shall publish the name of a party whose registration does not subsist under Sub-section (1) in the Nepal Gazette. Chapter-3 Party Membership and Organizational Structure 14.

Party Membership: (1) An office bearer authorized pursuant to the Statute may distribute party membership. (2) While distributing membership pursuant to Sub-section (1), it shall be distributed to a Nepali citizen who meets the following qualifications:- (a) Has completed the age of eighteen years, (b) Has not been sentenced to imprisonment for an offense relating to corruption, rape, human trafficking and transportation, narcotic drug sale and distribution or export or import, money laundering, kidnapping, or other criminal offenses involving moral turpitude, (c) Is not holding a post of a serving professor, teacher, or employee in an autonomous body owned or controlled by the Government of Nepal, Provincial Government, or Local Level, (d) Is not disqualified from being a member of a political party under the Constitution and law by reason of holding any public office. (3) Each party must keep updated details of the members whose membership it has distributed. (4) While keeping details under Sub-section (3), they must be kept at the local level, provincial level, and central level as per the Statute. Explanation: For the purpose of this Sub-section, while keeping details at the local level, the party may also keep them at the relevant district level. 15. Organizational Structure of Party:

(1) The organizational structure of the party and provisions relating to office bearers shall be as specified in the Statute. (2) While making provisions for the organizational structure under Sub-section (1), it must be done ensuring that there are committees capable of exercising executive authority at least at the local level, provincial level, and central level. Explanation: For the purpose of this Sub-section, while making provisions for the organizational structure at the local level, provisions may be made including an organizational structure at the district level. (3) When conducting elections, nominations, or appointments pursuant to the Statute, provisions shall be made for participation in such committees from among its members based on the principle of proportional inclusion, reflecting the social diversity of Nepal. (4) Provisions shall be made for at least one-third women members in all committees of the party at all levels. 16.

Provisions Relating to Federal and Provincial Level Committees: (1) Elections for each office bearer in the Central Committee at the federal level and the Provincial Committee at the provincial level of the party shall be conducted at least once every five years as provided in the Statute of the party. (2) Notwithstanding anything contained in Sub-section (1), if special circumstances arise and elections for such office bearers cannot be completed within five years, elections for such office bearers shall be held within six months from the date of expiry of that period, informing the Commission as provided in the Statute. (3) Details of the elected Central Committee and Provincial Committee shall be provided to the Commission within one month from the date of election. (4) The Commission may monitor whether the Central Committee and Provincial Committee of a party are formed in accordance with this Section. 17. Qualifications for Office Bearers of Central Committee and Provincial Committee: The qualifications required to be fulfilled by any member of the party to be elected as an office bearer of the Central Committee or Provincial Committee of the party shall be as specified in the Statute of the relevant party. 18. Disciplinary Action May Be Taken: (1) The party may take disciplinary action against a member or office bearer who acts contrary to the Statute or fails to comply with the code of conduct of the party, as provided in the Statute. (2) While taking action under Sub-section (1), a reasonable opportunity to present a defense shall be given to that person. (3) When the party takes action against any member under this Section, the reason and basis for such action must be clearly stated. 19. Provision for Mechanism to Hear Appeals: (1) The party shall provide in its Statute an appropriate mechanism to hear appeals against actions taken under Section 18. (2) The mechanism under Sub-section (1) may confirm, annul, or modify the action taken under Section 18. Chapter-4 Functions, Duties and Rights of the Party 20.

Functions, Duties and Rights of the Party: (1) The functions, duties, and rights of the party, subject to the Constitution, this Act, and prevailing law, shall be specified in the relevant Statute. (2) Without prejudice to the generality of Sub-section (1), the party may, in particular, perform or cause to be performed the following functions:- (a) Activities related to the strengthening of the competitive multi-party, federal democratic republican system, (b) Presenting policies, plans, and programs of economic, social, or cultural development of the country before the public, (c) Contributing to the development of an independent, self-reliant, and progressive national economy and a free and prosperous economy, (d) Enhancing political awareness of the people as a representative catalyst of political or civic development, (e) Developing a culture of inter-party consensus and coordination, (f) Identifying the rights, interests, and concerns of citizens and making necessary efforts to exercise such rights and address interests and concerns, (g) Contributing to the establishment of an egalitarian society by ending all forms of social discrimination, violence, untouchability, or prejudice, (h) Taking necessary initiatives in the government or non-government sector to implement the right of citizens to good governance in practice, and assisting government mechanisms for that purpose, (i) Performing or causing to be performed other necessary functions for the promotion, development, or strengthening of democracy, (j) Enhancing social harmony and unity, (k) Conducting or causing to be

conducted programs that promote volunteerism, foster sovereignty, human rights, social justice, peace, and non-violence, (l) Contributing to preparedness activities by conducting disaster risk reduction education campaigns, (m) Providing search, rescue, assistance, reconstruction, and other necessary help during national disasters, (n) Performing works mentioned in its election manifesto, (o) Providing support to programs conducted by the Commission. (3) To perform the functions, duties, or roles under Sub-section (1) or (2), the party may carry out the following activities:- (a) Making its policies, programs, plans, or strategies public or publicizing them, (b) Forming or causing to be formed organizations affiliated with it under prevailing law, (c) Organizing peaceful processions, public meetings, or rallies as necessary to implement or cause to be implemented its policies, programs, or plans, (d) Doing other necessary tasks to fulfill its objectives. 21.

Acts Prohibited for Party: A party shall not perform or cause to be performed any of the following acts:- (a) Undermining the sovereignty, territorial integrity, nationality, and independence of Nepal, (b) Spying or causing espionage against the nation, (c) Breaching national confidentiality, (d) Assisting any foreign state, organization, or representative in a manner detrimental to the security of Nepal, (e) Committing treason, (f) Undermining harmonious relations between federal units, (g) Spreading ethnic or communal hatred or undermining harmonious relations among various castes, ethnic groups, religions, and sects, (h) Imposing restrictions on Nepali citizens based on caste, language, religion, sect, or gender for obtaining party membership, or granting membership only to persons of a particular caste, language, religion, sect, or gender, (i) Discriminating among citizens, (j) Inciting violent acts, (k) Performing acts contrary to public morality, (l) Conducting processions, public meetings, or protests by displaying weapons such as khukuri, spear, or explosive substances, or sticks, lathis, (m) Using or encroaching upon any government, public, or community property without prior approval of the authorized officer, (n) Causing or causing to cause vandalism, damage, or destruction to government, public, community, or private property, (o) Disrupting the provision of public services in a manner causing inconvenience to the general public, (p) Using children in political activities, (q) Performing or causing to be performed any other act that a party is prohibited from doing under prevailing law. 22. Compliance with Directions and Code of Conduct Required: The party, its office bearers, and members shall comply with the directions and election code of conduct issued by the Commission. 23. May Participate in Election: A party may participate in elections subject to the Constitution, this Act, and prevailing law. Chapter-5 Parliamentary Party 24. Formation of Parliamentary Party: (1) A party that wins at least two seats representing it in an election to the Federal Parliament or Provincial Assembly may form a Federal Parliamentary Party or Provincial Parliamentary Party. (2) Every person elected from a party under Sub-section (1) and representing it in the Federal Parliament or Provincial Assembly shall automatically be a member of the relevant parliamentary party. (3) For the purpose of Sub-section (1), the relevant party shall provide the following details in the format specified by the Secretariat of the Federal Parliament or the Secretariat of the Provincial Assembly to such Secretariat:- (a) Name of the relevant party and details of its central office, (b) One copy of the Statute of the relevant party, and one copy of its Rules, if any, (c) One copy of the separate Statute of the parliamentary party of the relevant party, if any, (d) Number and names of the elected representatives. 25.

Leader of Parliamentary Party: (1) The members of the parliamentary party in the Federal Parliament or Provincial Assembly shall, in accordance with the direction of the relevant party, elect one of themselves as the Leader of the Parliamentary Party. (2) The election of the parliamentary party leader and other matters relating thereto shall be as specified in the Statute of the relevant party. 26. Office Bearers of Parliamentary Party: (1) In addition to the leader of such party, the parliamentary party shall have a Deputy Leader, Whip, or Member-Secretary as required. (2) Unless otherwise provided in the Statute of the relevant party, the Leader of the Parliamentary Party shall nominate the Deputy Leader, Whip, or Member-Secretary from among the

members of the parliamentary party. (3) The Leader or Whip of the Parliamentary Party shall provide the details of the office bearers of the parliamentary party to the Secretariat of the Federal Parliament or the Secretariat of the Provincial Assembly. 27. Office of Parliamentary Party: (1) The Secretariat of the Federal Parliament or the Secretariat of the Provincial Assembly shall make necessary arrangements to establish an office for the conduct of the activities of the parliamentary party. (2) For the purpose of Sub-section (1), such Secretariat shall provide necessary resources and means to the relevant parliamentary party. 28. May Issue Direction to Members: (1) The Whip of such party may, in accordance with the direction of the Leader of the Parliamentary Party, issue a direction (Whip) to the members of the parliamentary party to vote in favor or against a proposal in a House of the Federal Parliament or the Provincial Assembly on the following proposals:- (a) Motion of confidence or no-confidence in the Government, (b) Subject of approving the policies and programs of the Government, (c) Subject of passing the annual budget, (d) Any other subject of national or public importance. (2) Every member of the parliamentary party must comply with the direction under Sub-section (1). (3) The Whip shall provide details of the member who fails to comply with the direction under Sub-section (1) to the Central Committee of the relevant party. 29. Becoming Member of Parliamentary Party: If a person who is elected to the Federal Parliament or Provincial Assembly independently without being a candidate of any party acquires membership of a party, such person shall automatically become a member of the parliamentary party of that party. Chapter-6 Party Defection 30. May Defect from Party: (1) A member of a party may defect from the party at any time. (2) Provisions relating to defection under Sub-section (1) shall be as per the Statute of the relevant party. 31.

Defection Not Allowed: (1) Notwithstanding anything contained in Section 30, a member of the Federal Parliament, a member of the Provincial Assembly, or a member of a local level, who is elected as a candidate from a party, shall not be allowed to defect from that party during the term of office of such position. (2) If a member defects from the party contrary to Sub-section (1), the position to which he/she was elected shall be deemed vacant automatically from the date of defection. 32. Deemed to Have Defected from Party: (1) A member shall be deemed to have defected from the party in the following circumstances:- (a) If he/she resigns in writing from the membership of the relevant party, (b) If he/she acquires membership of another party, or (c) If he/she forms another party, either independently or with his/her involvement. (2) Upon receiving details under Sub-section (3) of Section 28, the Central Committee of the relevant party may expel such member from the relevant party under this Section, and if a member is expelled accordingly, such member shall be deemed to be expelled from the relevant party as well. (3) Before expelling under Sub-section (2), the Central Committee of the relevant party shall give such member a reasonable opportunity to present his/her defense, and for that purpose, the relevant party may form an investigation committee. (4) Upon receiving the defense under Sub-section (3), the Central Committee of the relevant party shall decide whether the defense presented by such member is satisfactory or not. (5) If the defense presented under Sub-section (3) is not satisfactory, the Central Committee of the relevant party may, as provided in the Statute, expel such member from the party membership, stating the reasons and basis. 33.

Not Deemed to Have Defected from Party: (1) Notwithstanding anything contained elsewhere in this Chapter, a member shall not be deemed to have defected from the party in the following circumstances:- (a) If a member submits a written resignation from the membership of the relevant party citing the reason of being elected as the Speaker or Deputy Speaker of the House of Representatives, Chairperson or Vice-Chairperson of the National Assembly, or Speaker or Deputy Speaker of the Provincial Assembly, (b) If an office bearer as per clause (a) votes against, remains neutral, or is absent from a direction (Whip) issued by the Whip, (c) If any member other than the office bearer as per clause (a) presides over a House of the Federal Parliament or the Provincial Assembly, and while presiding, votes against or remains neutral from the

direction issued by the Whip, (d) If he/she becomes a member of a party that has unified or merged pursuant to Section 10. Amended by the Political Party Related (Second Amendment) Ordinance, 2077, revived by the Act Repealing Certain Ordinances and Substituting the Ordinance Made to Revive the Previous Provision of the Nepal Act, 2077, effective from 2077.1.12.(2) If at least forty percent of the members of the Central Committee and the parliamentary party in the Federal Parliament of a party form a separate new party, or enter another party, or form a new party including such members, the members of such parliamentary party shall not be deemed to have defected. (3) Notwithstanding anything contained elsewhere in this Section, a separate party shall not be formed by defecting from a party formed under Sub-section (2) until five years from the date such party formed under Sub-section (2) obtains recognition from the Commission. 34. Notice of Defection to be Given: (1) If a member of a party who is also a member of the Federal Parliament or Provincial Assembly defects under this Act, or is expelled from the party, the relevant parliamentary party shall give notice along with the decision thereof to the Secretariat of the relevant House or Assembly. (2) After receiving notice under Sub-section (1), the Secretariat of the Federal Parliament or Provincial Assembly shall submit such notice to the Speaker or Chairperson of the relevant House or Assembly. 35.

Information to be Given to the House: (1) After receiving notice under Section 34, the Speaker or Chairperson of the relevant House or Assembly shall inform the relevant House or Assembly of such notice within fifteen days from the date of registration of such notice. (2) Notwithstanding anything contained in Sub-section (1), if the session of the Federal Parliament or Provincial Assembly is not ongoing, such notice shall be posted on the notice board of the relevant Secretariat, and after the session of the Federal Parliament or Provincial Assembly convenes, such details shall be informed to the relevant House or Assembly. 36. Position to Become Vacant: (1) After the Speaker or Chairperson of the relevant House or Assembly informs the relevant House or Assembly of the notice under Section 35, or after it is posted on the notice board of the relevant Secretariat, the position of such member shall be deemed vacant. (2) The relevant Secretariat shall inform the Commission of the vacancy of a member's position under this Act within fifteen days. Chapter-7 Fund of the Party and its Operation 37. Fund of the Party: (1) The party shall have a separate Fund. (2) The following amounts shall be deposited in the Fund:- (a) Amount received from each member as membership fee or membership renewal fee pursuant to the Statute, (b) Voluntary financial contribution received pursuant to Section 38, (c) Amount collected by the party by organizing any program, (d) Amount received from the sale of the party's publications and movable and immovable property, (e) Interest amount received from the bank on the amount in the Fund, (f) Contribution amount regularly received from members pursuant to the Statute. (3) The amount deposited in the Fund shall be deposited by opening an account in a bank. (4) All expenses incurred in the name of the party shall be borne from the Fund. 38.

Voluntary Financial Contribution May Be Accepted: (1) A Nepali citizen or corporate body may make a voluntary financial contribution to a party. (2) A party shall not accept financial contributions from the following government offices, institutions, or persons:- (a) Any agency or office of the Government of Nepal, Provincial Government, or Local Level, (b) Corporate body wholly or partially owned or controlled by the Government of Nepal, Provincial Government, or Local Level, (c) Public limited company having shares of the general public, (d) Any government or community university, campus, school, or academic or educational institution, (e) National and international non-governmental organizations, (f) Foreign government, institution, or person, (g) Anonymous person or institution, (h) Other institutions prescribed by the Commission. (3) When a party receives a financial contribution exceeding twenty-five thousand rupees from any person or corporate body under this Section, it shall be done only through a banking check or bank transfer. (4) The party shall issue a receipt for all financial contributions received under this Section. (5) While providing a financial contribution under this Section, it shall not be provided on the condition of obtaining any financial or personal benefit from

the party, and the party shall not accept a contribution with a view to providing such benefit. (6) When taking a contribution exceeding the amount as prescribed, the party must require the source to be disclosed. (7) Other provisions relating to financial contributions shall be as prescribed. 39. Inquiry to be Conducted: (1) If a complaint with evidence is filed, or information is received from any other source, that a party has received a voluntary financial contribution that it is not allowed to accept under this Act, or if there are reasonable grounds to believe that a party has received such amount, the Commission shall conduct an inquiry as prescribed in that regard. (2) If, from the inquiry conducted under Sub-section (1), it appears that the party has received such amount, the Commission shall order the relevant political party to deposit such amount with the Commission. (3) The relevant party shall deposit such amount with the Commission within thirty days of receiving the order under Sub-section (2), and the Commission shall deposit the amount so received in the Consolidated Fund within fifteen days. (4) If the party fails to deposit the amount within the period under Sub-section (3), the Commission may recover such amount from that party and impose a fine of ten thousand rupees. Chapter-8 Accounts and Audit 40.

Accounts to be Kept: (1) The party shall keep accounts showing the actual financial transactions of its income and expenditure, and such accounts may also be kept in electronic records. (2) For the purpose of keeping records under Sub-section (1), the party shall designate a responsible office bearer and inform the Commission thereof. (3) For the purpose of Sub-section (1), the Commission shall prescribe the format of the accounts. (4) An authorized officer or expert designated by the Commission may request or inspect the accounts, books, and financial records of the party at any time. (5) If requested or if inspection is desired under Sub-section (4), the relevant party shall provide the details thereof or allow inspection. 41. Audit to be Conducted: (1) The party shall, within six months of the end of the fiscal year, have its income and expenditure accounts audited by an auditor licensed under law, and submit the audit report to the Commission within one month. (2) The audit report under Sub-section (1) shall include details as prescribed. (3) Within forty-five days of the expiry of the period under Sub-section (1), the Commission may issue an order, in writing or through electronic or other means of communication, to such party to submit an explanation stating the reason for not submitting the audit report. (4) The relevant party shall submit an explanation within the period under Sub-section (1). (5) The audit report under Sub-section (1) must be made public by the party within one month from the date of submission to the Commission. 42. Audit Report May be Examined: (1) After receiving the audit report under Section 41, the Commission may have it examined as prescribed. (2) For the purpose of Sub-section (1), the Commission or an officer designated by the Commission may request any details or documents from the relevant party, and it shall be the duty of the relevant party to submit such details or documents within the prescribed period. Chapter-9 Resolution of Disputes Relating to Party Recognition 43. Resolution of Disputes: If a dispute arises between two or more parties Added by the Act Amending Some Nepal Acts, 2075.or between two or more factions within the same party on the following matters, such dispute shall be resolved by the Commission:- (a) Name of the party, (b) Seal, Statute, flag, (4) If a member of a parliamentary party under sub-section (3) commits an act contrary to sub-section (1) of Section 28, such member shall be deemed to have abandoned the party. 50.

Party Registration Book to be maintained: (1) For the purpose of maintaining records of details relating to a party, a party registration book shall be kept at the Commission and at the office designated by the Commission, and such registration book may also be kept in electronic medium. (2) The record under sub-section (1) shall be certified by the officer as prescribed. (3) Other provisions relating to the party registration book shall be as prescribed. 51. Information to be furnished: (1) A party shall furnish to the Commission, within thirty days, information regarding any change or amendment in its name, constitution, rules, seal, flag or symbol, changes in office bearers, and other matters as prescribed by the Commission. (2)

After receiving the information under sub-section (1), upon conducting necessary study and inquiry in relation thereto, if it is found that such work or action has been done in accordance with the Constitution, this Act, or the rules made under this Act, and the party's constitution, the Commission shall, in the case of the name, constitution, rules, seal, flag or symbol, maintain a record thereof, and if there has been a change in office bearers, it shall be updated as prescribed. (3) If the information given under sub-section (1) relates to a change in office bearers, the Commission shall make the corresponding change in the details of the concerned party in the party registration book and update it accordingly. 52. Recognition as a national party: Only a party that obtains at least three percent of the votes in the proportional electoral system and one seat in the first-past-the-post electoral system in the election to the House of Representatives shall obtain recognition as a national party. Where a restrictive phrase was added by the Political Party (Second Amendment) Ordinance, 2077, it became ineffective from the date 2077/01/12 by the Ordinance made to repeal certain ordinances and revive the original provisions of the Nepal Act, replaced by the Act, 2077. 53. Property details to be submitted: (1) A person elected as an office bearer or member of the central committee shall, within sixty days of being elected, submit a sealed statement of his/her movable and immovable property to the central office of the party.

54. Penalty: (1) If any party commits any of the following acts, the Commission may impose a fine of up to fifty thousand rupees:?

- (a) acts contrary to clause (e), (j), (n), (t) or (th) of Section 21,
- (b) failing to hold an election for the central committee and the provincial committee in accordance with sub-section (1) of Section 16,
- (c) failing to form the organizational structure of the central committee and the provincial committee on the basis of proportionate inclusive representation,
- (d) failing to submit the audit report to the Commission for three consecutive years,
- (e) failing to submit the account statement of the amount of voluntary financial contributions received and the amount of financial assistance obtained pursuant to this Act, or the records of accounts, within the prescribed period when demanded by the Commission,
- (f) failing to comply with the order given to stop the work or proceedings of the party under sub-section (2) of Section 11,
- (g) failing to deposit the amount of fine imposed under sub-section (4) of Section 39 within the prescribed period.

(2) If any party commits an act contrary to clause (b), (c), (d), (e), (f) or (g) of sub-section (1), the Commission may order such party to rectify such act or action within six months.

(3) If any party fails to pay the fine imposed under sub-section (1) or fails to rectify the act or action within the period under sub-section (2), the Commission may issue an order preventing such party from participating in the next immediately ensuing election.

(4) If any party commits an offense under sub-section (1) more than once, or fails to comply with the order given under sub-section (2) within one year, or fails to pay the fine, the Commission may cancel the registration of such party in accordance with Section 12.

(5) If a party commits any of the following acts, the Commission shall impose a fine as follows:?

- (a) failing to maintain accounts in accordance with Section 40, failing to get accounts audited in accordance with sub-section (1) of Section 41, or failing to submit the audit report to the Commission, or failing to submit

an explanation in accordance with sub-section (4), up to twenty thousand rupees,

(b) failing to furnish details or failing to allow inspection in accordance with sub-section (4) of Section 40, up to ten thousand rupees,

(c) failing to make the audit report public in accordance with sub-section (5) of Section 41, up to seven thousand rupees,

(d) failing to submit a statement in accordance with sub-section (2) of Section 42 or failing to publish a statement in accordance with sub-section (2) of Section 43, up to five thousand rupees,

(e) failing to perform any other act required to be done by the party in accordance with this Act or the rules made under this Act, or doing any act that ought not to be done, up to five thousand rupees.

(6) The Commission shall impose a fine on a person or organization giving voluntary financial contributions contrary to Section 38, equal to the amount of such contribution.

(7) The Commission may impose a fine of up to ten thousand rupees on a person who commits any of the following acts:?

(a) using a protected flag or symbol contrary to Section 9 or sub-section (7) of Section 10,

(b) failing to include the details required to be mentioned in the audit report contrary to sub-section (2) of Section 41,

(c) failing to submit a property statement in accordance with sub-section (1) of Section 53.

(8) Before imposing a penalty under this Section, the Commission shall give the concerned party or person seven days' time to submit their defense.

55. Code of Conduct: (1) A party shall, subject to the Constitution, this Act, and the rules made under this Act, and the party's constitution, formulate and implement a code of conduct to be followed by its party, office bearers, members, and workers.

(2) The party shall inform the Commission of the passing of the code of conduct under sub-section (1).

(3) The code of conduct under sub-section (1) shall be followed by the concerned party, office bearers, members, and workers.

(4) An office bearer, member, or worker who fails to follow the code of conduct under sub-section (2) shall be subject to action in accordance with the party's constitution. 56. Information to be given to local administration: If a party intends to hold a meeting, rally, or procession, it shall give information thereof to the concerned local administration at least seventy-two hours before holding such meeting, rally, or procession.

57. May issue directives: (1) The Commission may, subject to the Constitution and prevailing law, issue necessary directives in relation to matters to be followed by a party while conducting its work and proceedings.

(2) It shall be the duty of every party to comply with the directives under sub-section (1). 58. May lodge complaint for compensation: (1) If any party causes or causes to be caused damage or loss to any government, community, public, or private property, the owner of the private property, and in the case of public or government property, the prescribed officer, may, within forty-five days from the date of such damage or loss, claim compensation therefor and lodge a complaint in the concerned District Court.

(2) When deciding on a complaint lodged under sub-section (1), the concerned Court shall order the payment of reasonable compensation for such loss.

(3) The liability to pay compensation under sub-section (2) shall be of the chief office bearer of the party.

(4) A party dissatisfied with the decision under sub-section (2) may appeal to the concerned High Court by depositing as security the amount of compensation to be paid. 59. Contact person to be designated: For the purpose of liaison with the Commission, a party shall designate one contact person and inform the Commission thereof. 60. May make rules: The Commission may make necessary rules for the implementation of this Act. 61. May make directives or procedures: (1) The Commission may, subject to this Act and the rules made under this Act, make necessary directives or procedures.

(2) The directives or procedures under sub-section (1) shall be followed by all concerned. 62.

Repeal and saving: (1) The following Acts are hereby repealed: (a) The Defection Act, 2054, (b) The Political Party Related Act, 2058. (2) The acts and actions done under the Acts repealed under sub-section (1) shall be deemed to have been done under this Act. Schedule (Relating to sub-section (2) of Section 8) Matters to be included in the Constitution of a Political Party 1. Full name of the party, and if there is an abbreviated name, such name, 2. Location of the central office of the party, 3. Details regarding the seal, symbol, or flag of the party, 4. Objectives and program of the party, 5. Conditions for acquiring and losing membership of the party, 6. Organizational structure of the party, 7. Details of office bearers of the central committee, provincial committee, and at the local level of the party, 8. Provisions relating to the election and nomination of office bearers of the central committee, provincial committee, and at the local level of the party, 9. Provisions relating to the general convention, 10. Meeting of various committees or units of the party, and the procedure for calling meetings and making decisions, 11. Disciplinary action that may be taken against members or office bearers, 12. Mechanism for hearing appeals, 13. Fund of the party, financial management, and the office bearer responsible therefor, 14. Procedure relating to the nomination of candidates, 15. Provisions relating to accounts, audit, and audit committee, 16. Process for involving members or lower bodies in policy and program formulation, 17. Procedure for amending the party's constitution, 18. Circumstances for dissolution of the party and management of assets and liabilities upon dissolution, 19. Proportionate inclusive provisions to be made in various committees of the party, 20. Power to make regulations, 21. Provisions for issuing internal circulars, 22. Provisions relating to party membership and renewal fees, 23. Provisions relating to the party membership registration book, 24. Other necessary matters.